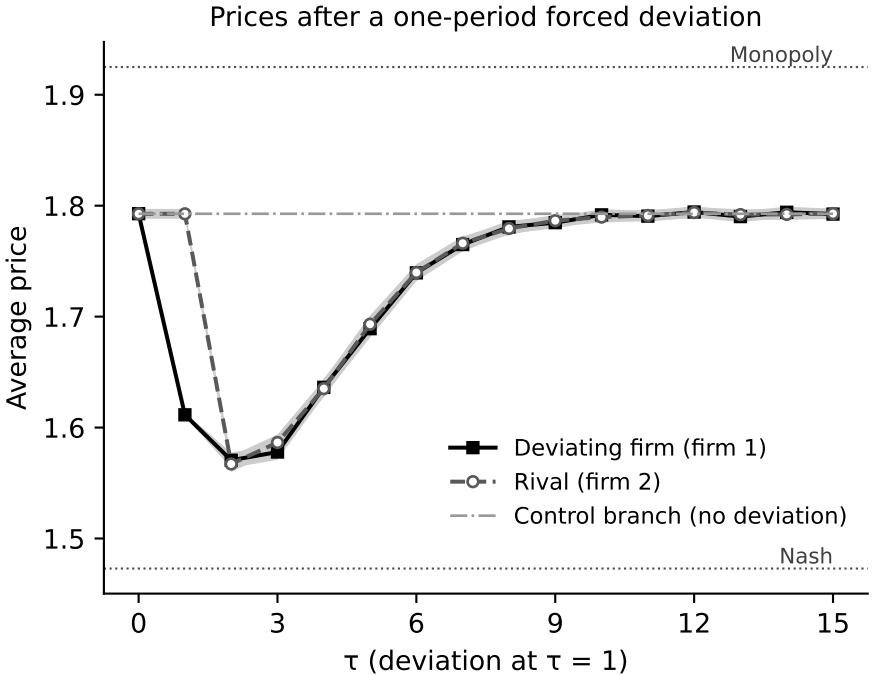
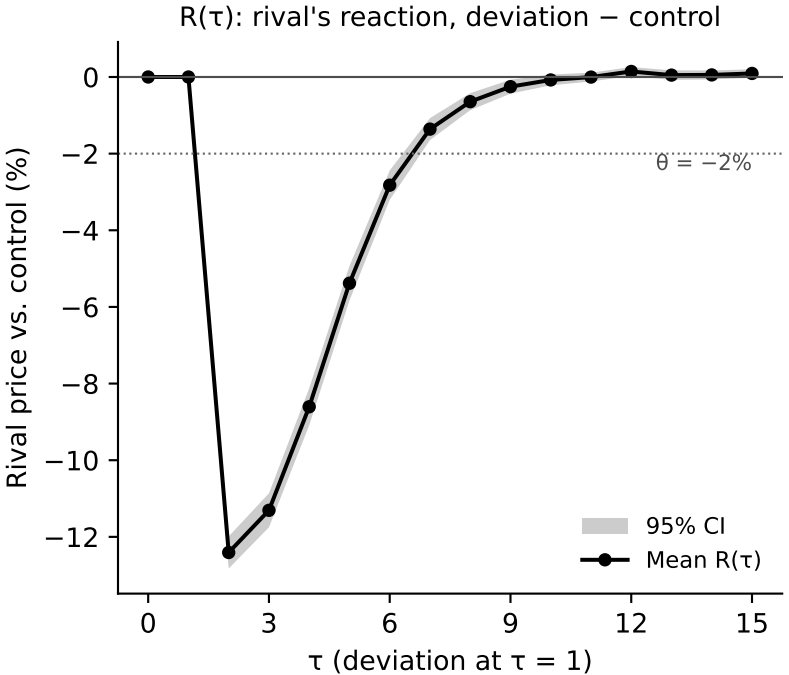

Prices after a one-period forced deviation
Monopoly
Nash
Average price
1.9
1.8
1.7
1.6
1.5
Deviating firm (firm 1)
Rival (firm 2)
Control branch (no deviation)
0
3
6
9
12
15
τ (deviation at τ = 1)


R(τ): rival's reaction, deviation − control
Rival price vs. control (%)
0
−2
−4
−6
−8
−10
−12
θ = −2%
95% CI
Mean R(τ)
0
3
6
9
12
15
τ (deviation at τ = 1)